KALINGA INSTITUTE OF INDUSTRIAL TECHNOLOGY (KIIT)

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CAPSTONE PROJECT REPORT

Implementation of Procure-to-Pay (P2P) Cycle in Supply Chain Management (SAP MM)

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INDEX

1. Introduction

2. Company Scenario

3. Organizational Structure

4. Master Data

5. Procure-to-Pay Process

6. Flowchart

7. Accounting Entries

8. Advantages

9. Conclusion

1. Introduction

The Procure-to-Pay (P2P) cycle is a key process in supply chain management that integrates purchasing, inventory, and finance functions within an organization. It involves the complete lifecycle of procuring goods from external vendors and making payments using SAP MM.

This process ensures efficient procurement planning, proper inventory control, and accurate financial transactions. It also helps organizations maintain transparency, reduce errors, and improve operational efficiency.

2. Company Scenario

ABC Pvt Ltd is a manufacturing company that procures raw materials from external vendors to produce finished goods. The company uses SAP MM to manage its procurement activities efficiently.

Whenever there is a requirement for raw materials, the procurement department initiates the purchasing process, ensuring timely availability of materials while maintaining cost efficiency and proper vendor management.

3. Organizational Structure

The organizational structure defines how different business units are arranged within SAP:

- **Company Code:** ABCD (Represents the legal entity)
- **Plant:** PL01 (Location where goods are manufactured/stored)
- **Storage Location:** SL01 (Place where inventory is physically stored)
- **Purchasing Organization:** PO01 (Responsible for procurement activities)

This structure helps in proper coordination of procurement, inventory, and financial processes.

4. Master Data

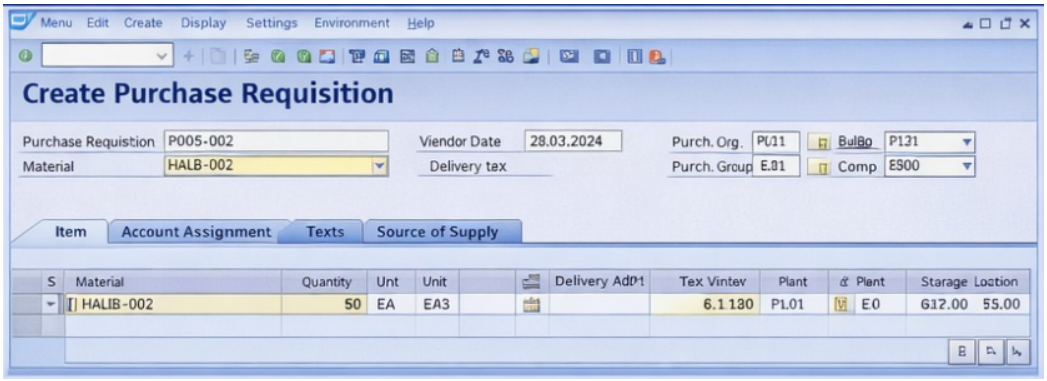
Master data is essential for executing procurement processes in SAP:

- **Material Master (MM01):**
  Contains details about materials such as description, unit, and valuation.
- **Vendor Master (XK01):**
  Stores information about suppliers including name, address, and payment terms.
- **Purchasing Info Record (ME11):**
  Maintains the relationship between vendor and material, including pricing and delivery conditions.

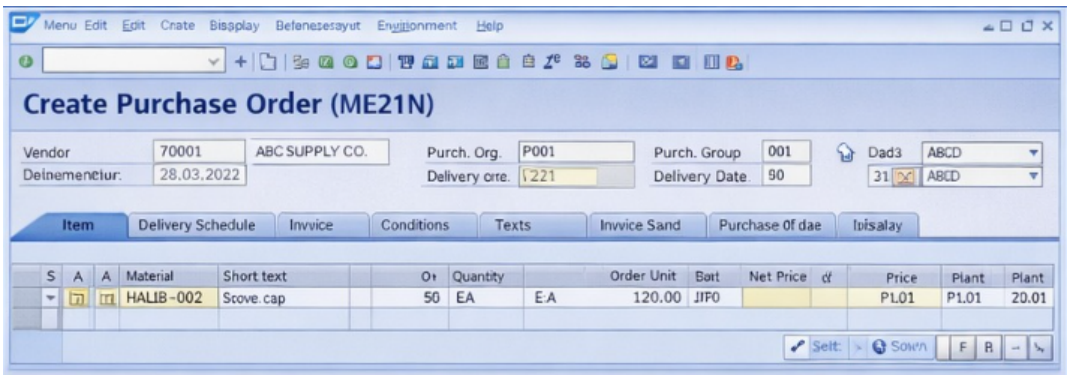
Proper master data ensures smooth and accurate execution of the P2P process.

5. Procure-to-Pay Process

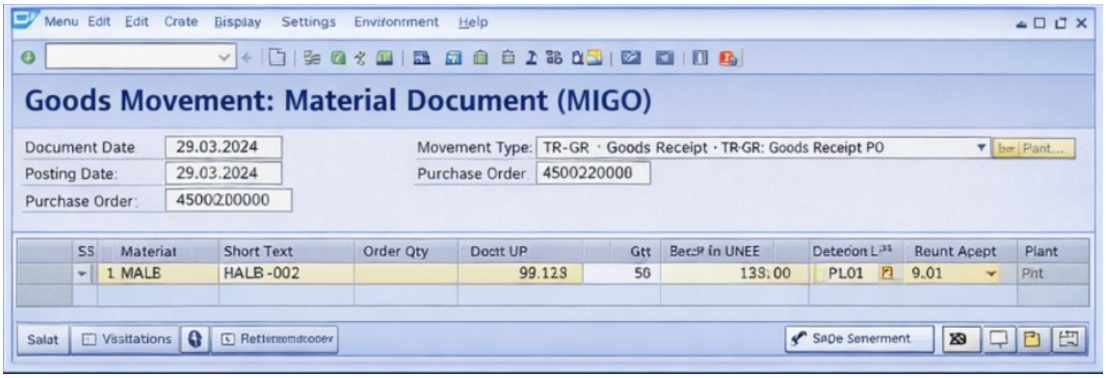
Step 1: Purchase Requisition (ME51N)



Step 2: Purchase Order (ME21N)



Step 3: Goods Receipt (MIGO)



Step 4: Invoice Verification (MIRO)

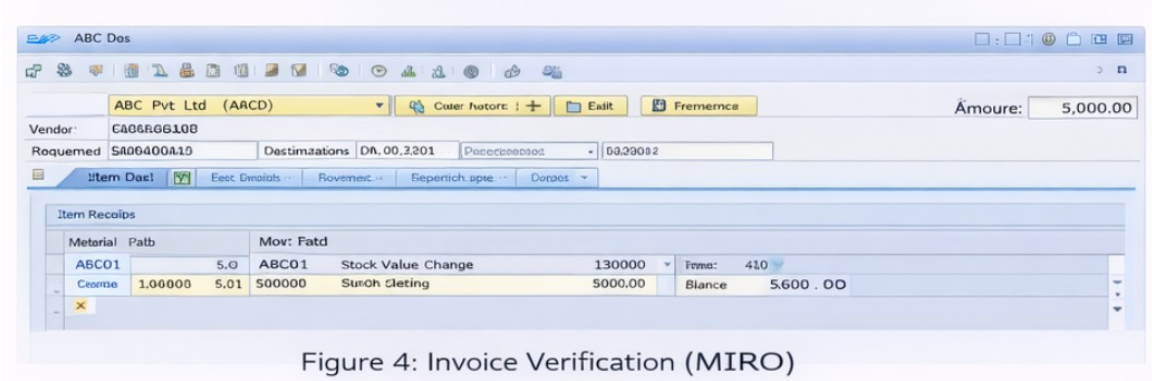
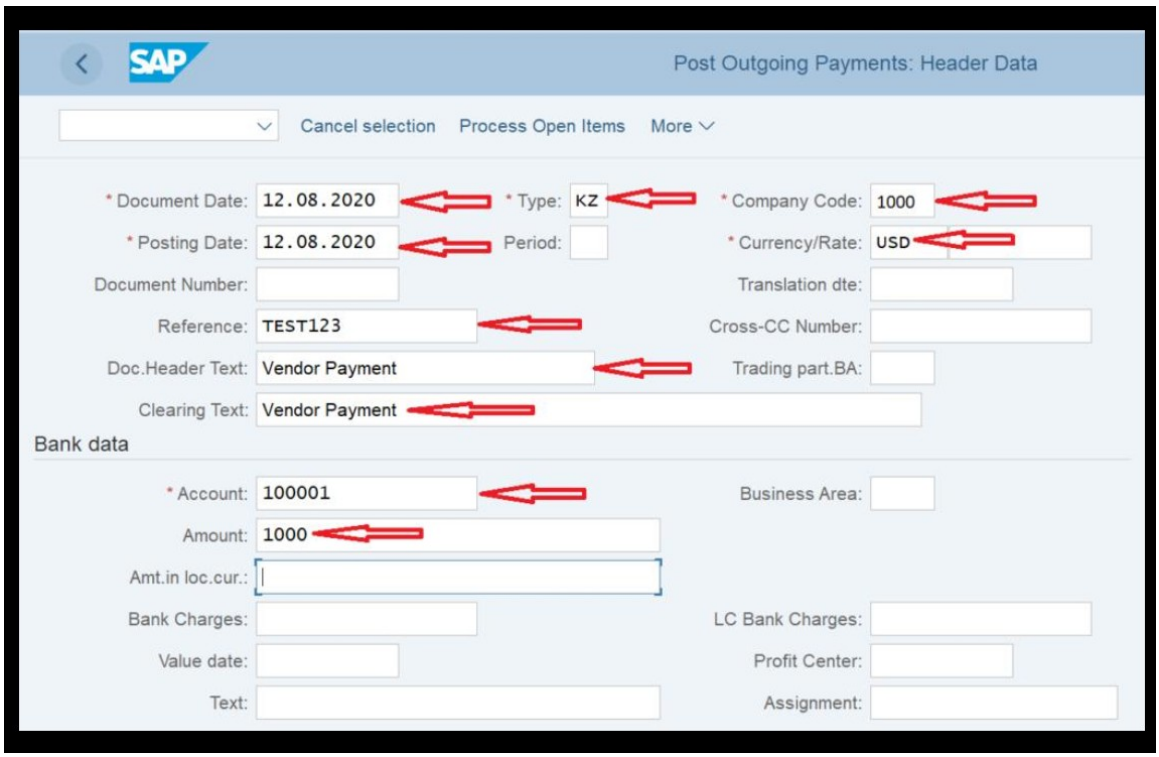


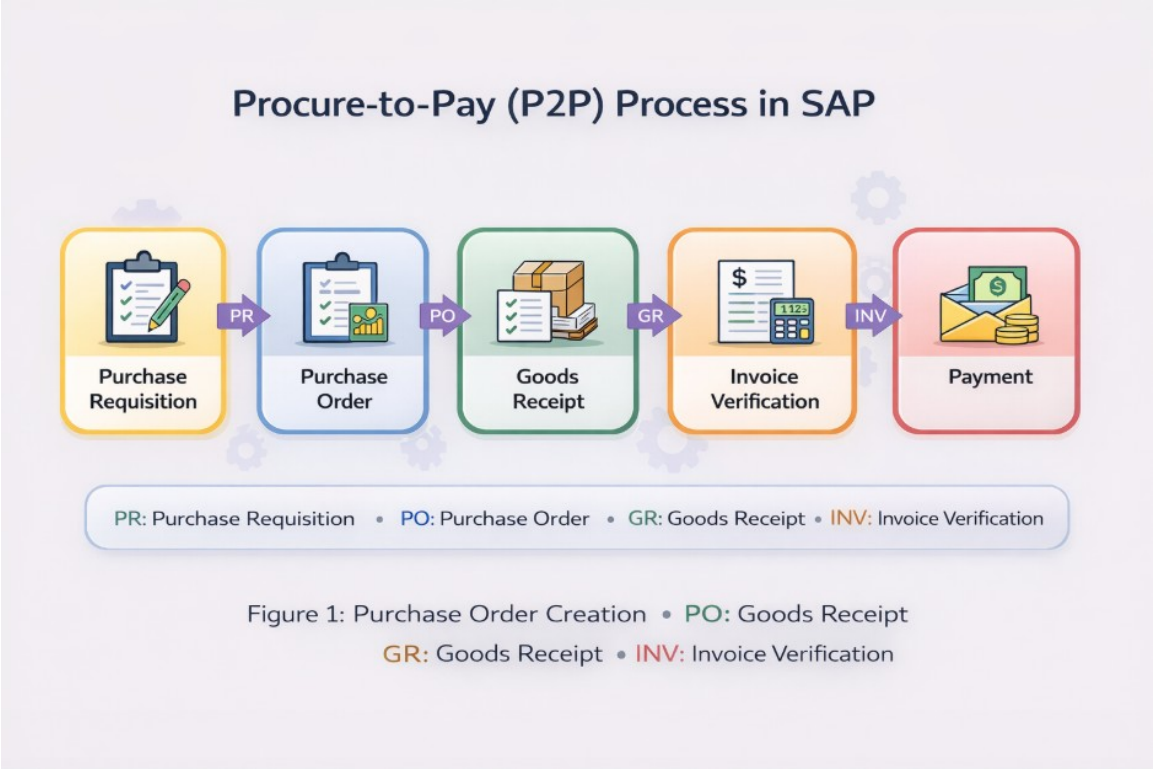
Figure 4: Invoice Verification (MIRO)

Step 5: Payment (F-53/F110)



6. Flowchart

PR → PO → GR → Invoice → Payment



7. Accounting Entries

The Procure-to-Pay process is integrated with Financial Accounting (FI), ensuring that all transactions are recorded accurately.

1. Goods Receipt (MIGO)

When goods are received, inventory is increased:

```
Inventory A/c        Dr
     To GR/IR A/c
```

2. Invoice Verification (MIRO)

When the vendor invoice is posted:

```
GR/IR A/c          Dr
     To Vendor A/c
```

3. Payment to Vendor (F-53 / F110)

When payment is made:

```
Vendor A/c        Dr
     To Bank A/c
```

8. Advantages

The Procure-to-Pay process provides several benefits to organizations:

- **Automation:** Reduces manual work and speeds up procurement
- **Accuracy:** Minimizes errors through system validation
- **Transparency:** Provides clear visibility of all transactions
- **Better Vendor Management:** Tracks vendor performance and payments
- **Cost Control:** Helps in monitoring and reducing procurement costs
- **Integration:** Connects procurement with inventory and finance modules

9. Conclusion

The Procure-to-Pay (P2P) cycle in SAP MM plays a crucial role in managing procurement activities efficiently. It integrates purchasing, inventory management, and financial accounting into a single system.

By automating the procurement process, SAP ensures accuracy, transparency, and better control over business operations. The P2P cycle helps organizations improve efficiency, maintain proper records, and build strong relationships with vendors.